Is federal contract money going to fewer companies?

Market concentration in civilian agency contracts, FY2008 to FY2025

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In one VA market, a single firm gets 98% of the money

Veterans Affairs (VA) managed health care, FY2025: $22.8 billion

Mostly the networks of private doctors that treat veterans outside VA hospitals



74 other firms share 2%

Figure 1. VA managed health care contract dollars by firm, FY2025. Source: USAspending.gov.

Why one firm with most of a market matters

Less price pressure
No rival bid to compare against

No fallback
No quick way to replace the firm

Fewer bidders next time
Few firms can take on a whole market

Our question How much civilian money sits in markets like this, and is it growing?

Six terms we use throughout

HHI
Herfindahl-Hirschman Index

A concentration score from near 0, money spread out, to 10,000, one firm has it all

Example: VA managed health care scores 9,680

Market
also called a segment

One agency buying one kind of product in one year

Example: VA buying managed health care in FY2025

Highly concentrated
from U.S. merger guidelines

A market whose HHI is above 2,500

Example: One firm at 80% and four at 5% scores 6,500

Civilian agencies
our focus

Every federal agency except the Department of Defense

Example: Veterans Affairs, NASA and Homeland Security

Fiscal year (FY)
the government's budget year

Runs from October 1 to September 30

Example: FY2025 ran from October 1, 2024 to September 30, 2025

Competed
how a contract is awarded

Other firms could bid. Sole source means one firm was chosen directly

Example: VA's managed care contract with UnitedHealth was fully competed

What this means Each market gets one HHI score. We track how much money sits in markets above 2,500.

Our score: square each firm's share, then add them up

$$HHI = s_1^2 + s_2^2 + \ldots + s_n^2$$

s = each firm's percent of the market's dollars
Runs from near 0 to 10,000

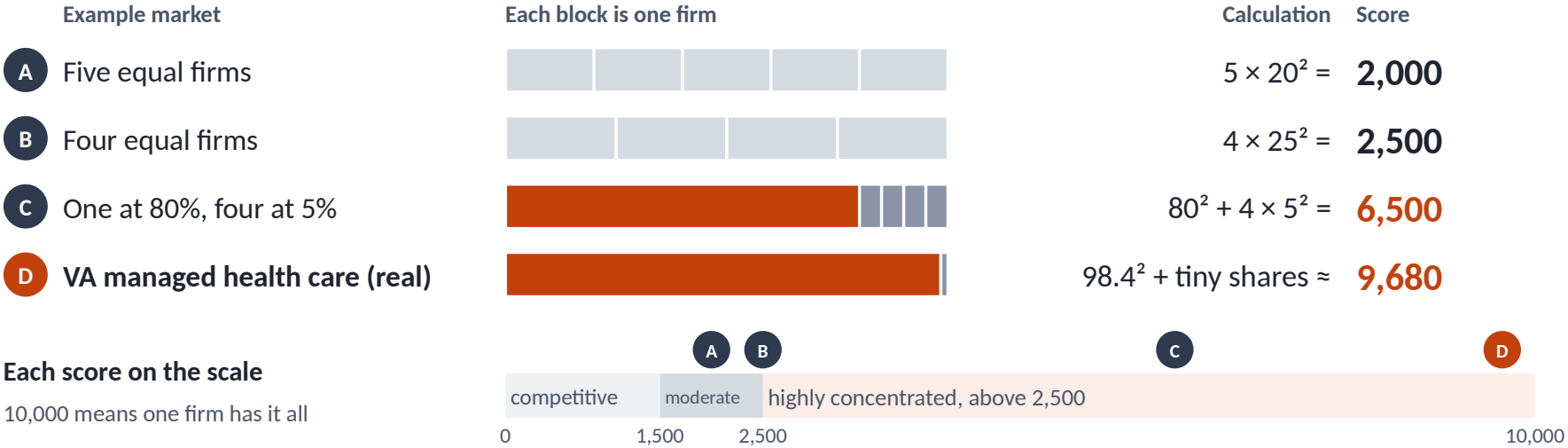


Figure 2. Four worked examples, A to D, and where each lands on the scale. Lines from the 2010 federal merger guidelines.

What this means Squaring makes big firms count most. Above 2,500 is highly concentrated.

We built 365,000 markets from 88.8 million contract actions

1 Start with every contract action

Date	**2025-07-31**
Who bought	**Veterans Affairs**
What	**Managed health care**
From whom	**UnitedHealth (Optum)**
How much	**$857 million**
Competed?	**Yes, full and open**

Cleaning matters. One bad entry made a market of 1,039 firms look like a monopoly. Its HHI fell from 4,282 to 167 after cleaning.

2 Group the actions into markets

Agency	**Veterans Affairs**
Product	**Managed health care**
Year	**FY2025**

= one market, one HHI score

Firms count under their parent company, so a subsidiary is not a rival.

Figure 3. One real contract action, and how actions group into markets. Source: USAspending.gov, FY2008 to FY2025.

What this means Our yearly totals match the Government Accountability Office's within 0.2%.

How we tested each finding

	The question	The method	In plain words
1	**Is the concentrated share rising?**	**Yearly share**	Add up the dollars in markets above 2,500 each year. Compare years with the same product codes.
2	**Did single markets rise more than chance?**	**Shuffle test, market by market**	Shuffle each market's yearly scores 20 times and count how many still rise.
3	**Is the overall rise real, and is it VA?**	**Shuffle test on the yearly share**	Shuffle the 18 yearly shares 20,000 times, with and without VA.
4	**Is it just contract timing?**	**Spreading**	Spread each contract's money evenly over the days it ran, then score again.
5	**Why did VA concentrate?**	**Breakdown and case study**	Split the change into each agency's part. Match VA's jump to the law and the contracts.

Table 1. The questions, the method behind each and what the method does.

What this means Each test asks whether the pattern is bigger than chance or one big contract would produce.

Half of civilian contract dollars are highly concentrated

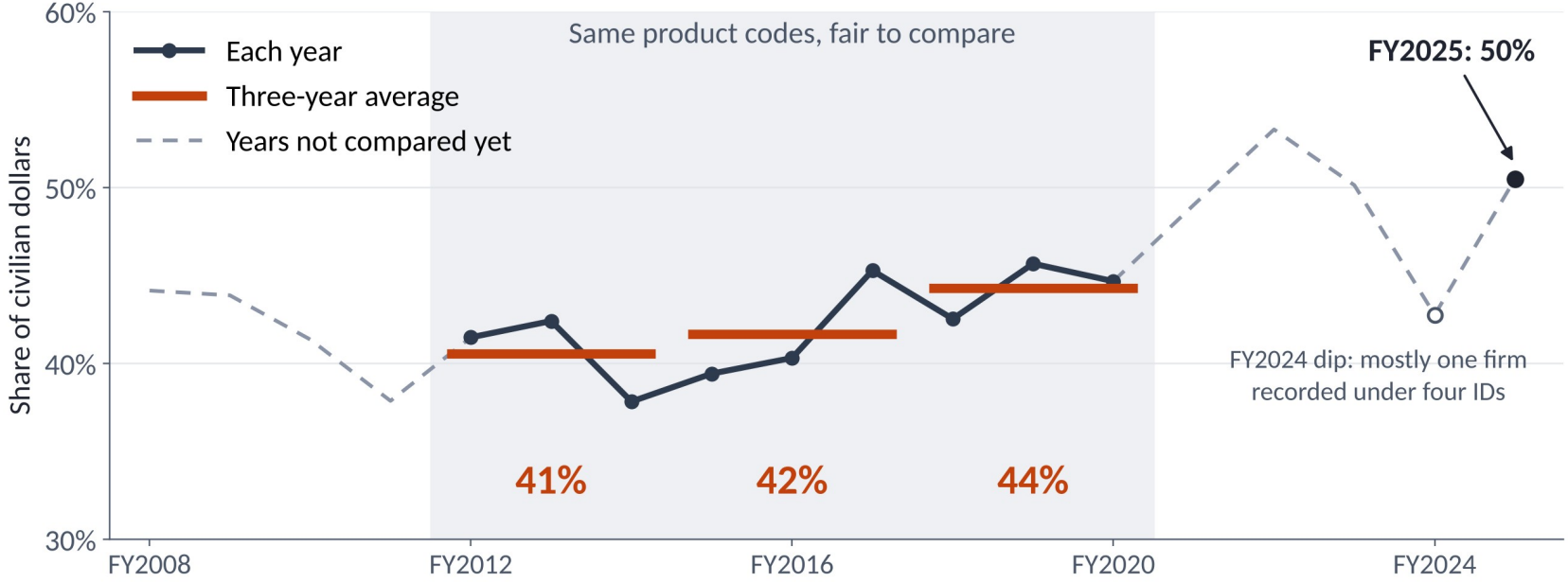


Figure 4. Share of civilian contract dollars in markets scoring above 2,500, by fiscal year.

What this means In the years we can compare fairly, the share rose from 41% to 44%.

More markets rose than chance alone would produce

Rose: a market's last three years average at least 500 points above its first three
Chance: the same yearly scores in random order, which keeps the ups and downs but removes any trend

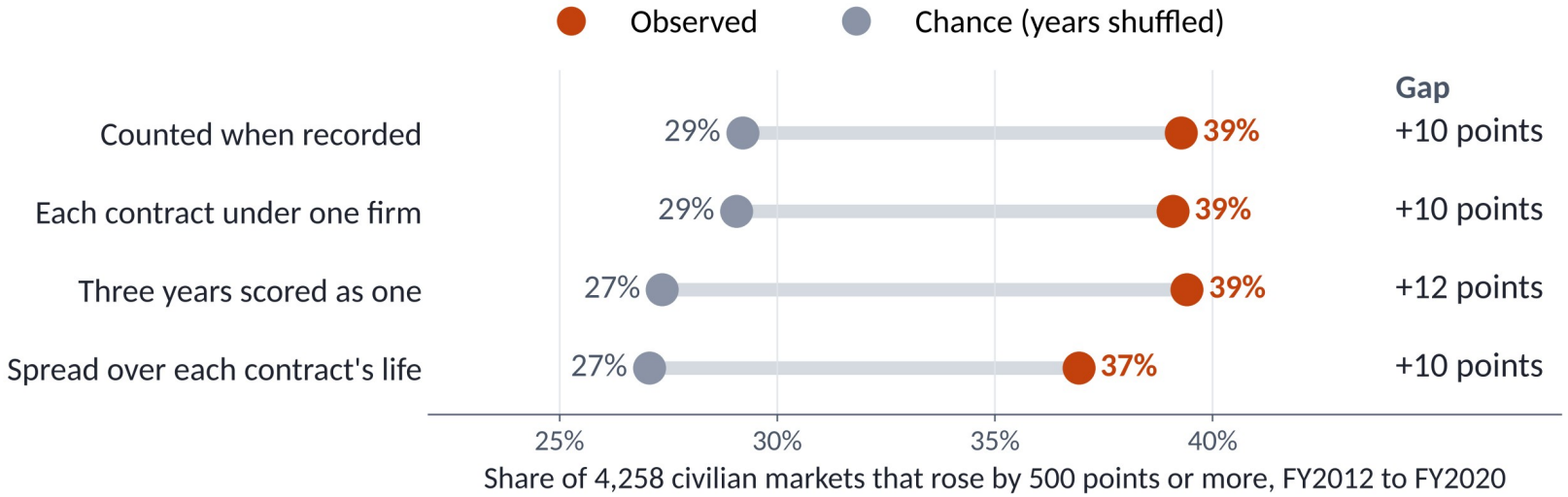
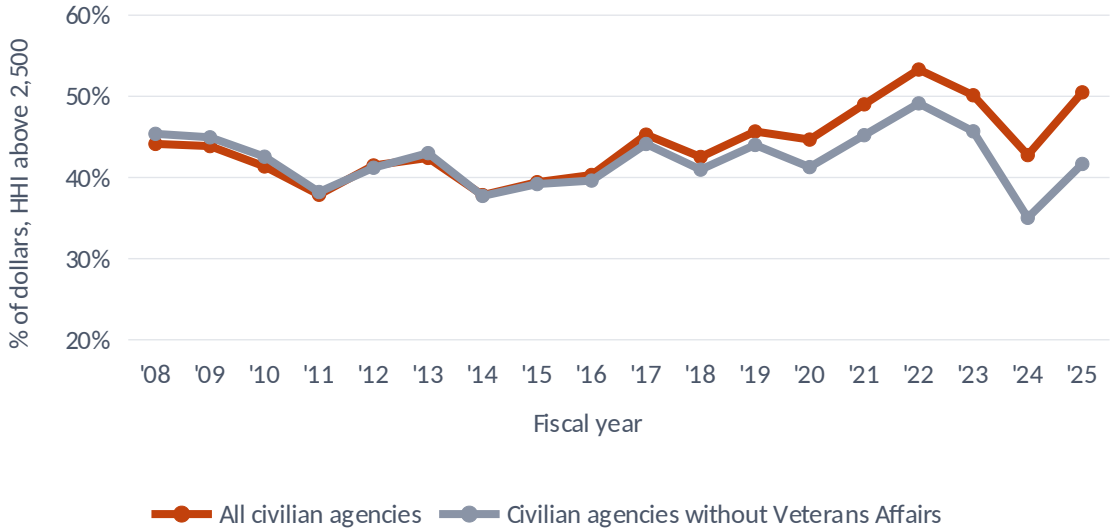


Figure 5. 4,258 civilian markets, FY2012 to FY2020. Each row counts the money a different way.

What this means About 10 more markets in every 100 rose than chance would produce.

Across all 18 years, the rise beats chance, and VA drives it

Shuffle test: put the 18 yearly shares in random order 20,000 times and refit the trend each time. A real trend is steeper than almost all of them.



All civilian agencies

44% → 50% A real rise

Only 0.2% of shuffled orders give a trend this steep

Without Veterans Affairs

45% → 42% No real trend

47% of shuffled orders give a trend this steep

Figure 6. Share of civilian contract dollars in highly concentrated segments, each year.

What this means Without VA the share is flat. The years after FY2020 still carry code and ID changes.

Three VA health markets are each held by one firm

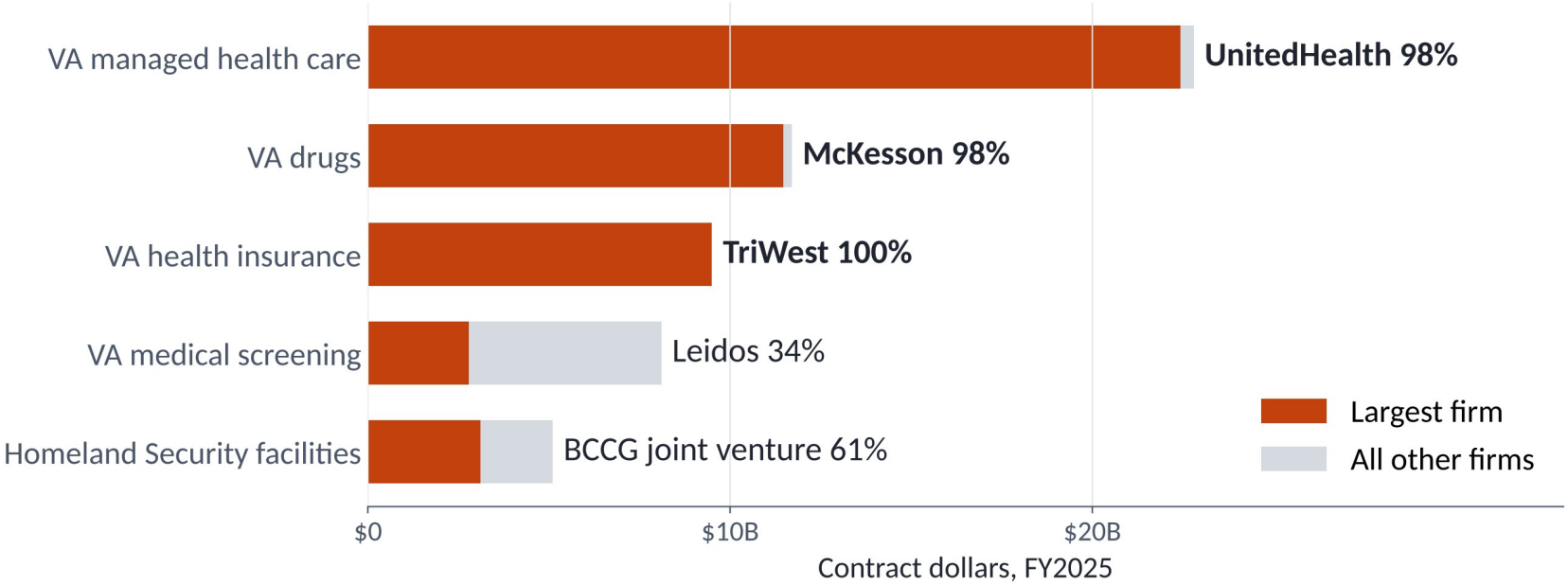


Figure 7. The five largest civilian markets scoring above 2,500, FY2025. McKesson distributes drugs made by many firms.

What this means Together the three VA markets hold $44 billion, about 15% of civilian contract dollars.

VA gave each region of its care network to one firm

Community care: VA pays private doctors to treat veterans. In each region, one firm runs the doctor network and pays the bills.

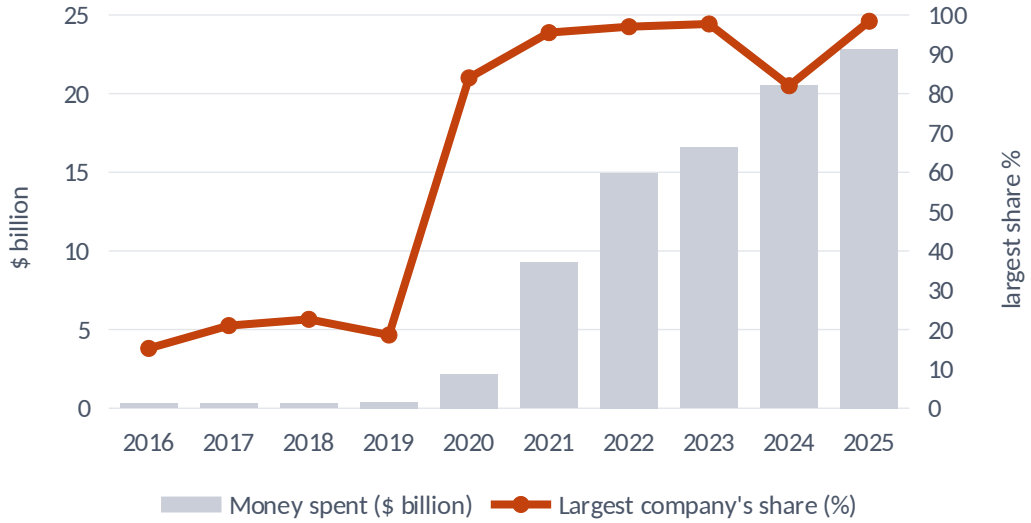


Figure 8. VA managed health care: money spent (bars) and the largest firm's share (line).

- **'18** A new law, the MISSION Act, merges VA's outside-care programs
- **'18** Optum (UnitedHealth) and TriWest win the regional contracts
- **'19** The regions start up from Dec 2019 to Jun 2021
- **'21** New product codes also move other VA money into this code
- **+** By dollars, VA added more than the whole civilian rise since FY2012

What this means Each region was competed, but each win handed a whole region to one firm.

Watch one-firm markets before they are competed again

We found	So oversight can
Half of civilian dollars sit in concentrated markets	**Track these markets every year**
That money was still competed	**Ask how many firms bid next time**
One firm can hide under several IDs	**Roll firms up by parent and by contract**

Table 2. Findings and what oversight offices, such as GAO and agency competition advocates, can do.

What this means A high score is not wrongdoing. What matters is who bids next time.

Our firmest trend claim covers FY2012 to FY2020



Figure 9. What our trend claim covers, by fiscal year.

Other limits

1. **Prime contracts only**
   Money passed on to subcontractors is not counted
2. **Each agency is its own buyer**
   A firm selling to many agencies is scored in each one
3. **A high score is not proof of a problem**
   Some work only one firm can do

What this means Concentration is high and rose through FY2020. Later years need more work.

Next: make the years since FY2020 comparable

1

Link old and new product codes

So markets from FY2021 on line up with earlier years

2

Count each firm once, even when its ID changes

The FY2024 dip was one firm recorded under four IDs

3

Separate two kinds of change

Money moving into concentrated markets, or markets becoming concentrated

Goal Say whether concentration kept rising after FY2020.

Thank you

Questions?

Three things to remember

1. Half of civilian contract dollars sit in highly concentrated markets.
2. That share rose from FY2012 to FY2020, more than chance would produce.
3. In VA health care, each regional competition handed a whole region to one firm.

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Appendix

Details for questions

Backup: one bad entry can fake a monopoly

Army construction, FY2008: a market of 1,039 firms. One $13.9 billion entry was reversed the next year.

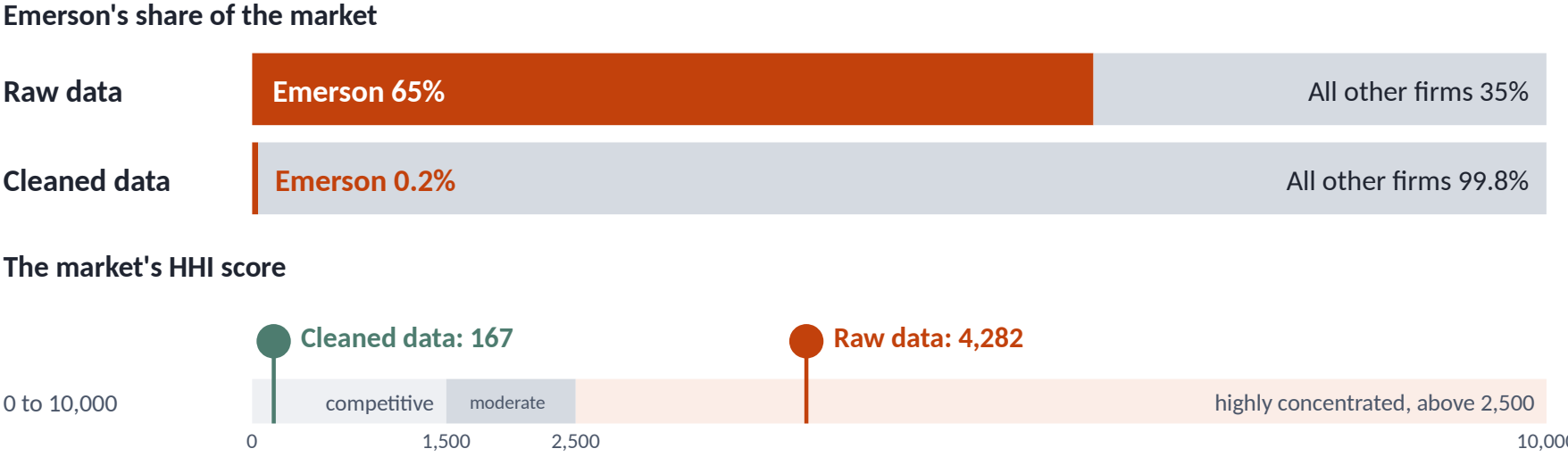


Figure B1. Emerson's share of the market and the market's HHI, in the raw data and after cleaning. Army construction, FY2008.

What this means Without cleaning, one bad entry makes a market of 1,039 companies look like a monopoly.

Backup: the data decisions, in plain words

The issue	What we do (as proposed)	Why
A $13.9B entry reversed the next year, and four similar pairs	Replace each pair with its real net	Otherwise one company looks dominant
Two $10B US Mint rows	Leave out of the score until confirmed	They look like contract ceilings, which are spending limits
Money returned makes some company totals negative	Score only companies with a positive total	A negative share has no meaning
One name, MISCELLANEOUS FOREIGN AWARDEES, covers many firms	Leave out of the score, report its share	It is not one company
Rows with no company ID	Leave out of the score, report their share	Under 0.01% of dollars
A placeholder funding agency in FY2008 to FY2010	Use the buying (awarding) agency	Complete in every year

Table B2. The proposed data decisions. With these rules, 3,241 of 357,284 markets (0.9%) change concentration band. The team still has to confirm each rule.

Backup: how we turned 18 zip files into a trusted dataset

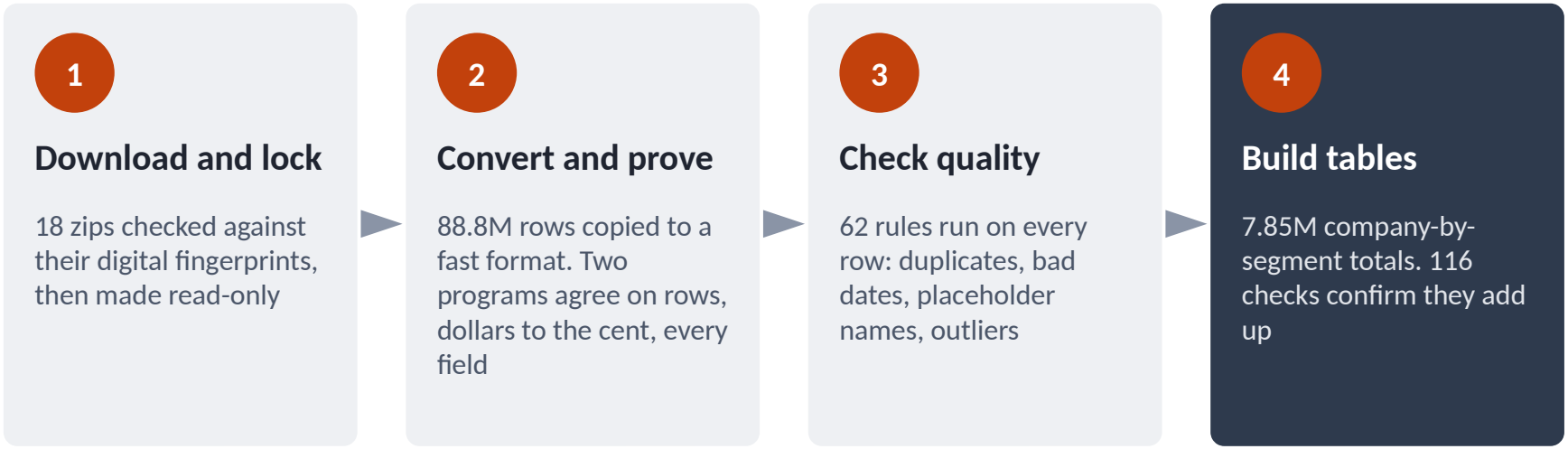


Figure B3. The pipeline. Nothing is deleted: problems are flagged beside the data.

Our yearly totals match GAO's official figures within 0.2% (FY2022 to FY2025)

What this means Every number traces back to the published files, and the totals agree with the government's official figures.

Backup: the HHI for the real VA market, worked through

1. Take each company's share of the money 2. Square it 3. Add them up

Two simple markets

Five equal companies



$20^2 + 20^2 + 20^2 + 20^2 + 20^2 =$ **2,000**

One company with 80%



$80^2 + 5^2 + 5^2 + 5^2 + 5^2 =$ **6,500**

VA managed healthcare, FY2025	Share	Share²
UnitedHealth Group	98.39%	9,679.70
Valor Healthcare	0.65%	0.42
STG International	0.25%	0.06
All other 72 companies	0.71%	0.05
HHI (the sum)	**100%**	**9,680**

Figure B4. HHI worked through: two simple markets, and a real one from the data.

What this means Squaring makes big shares count much more: one company with 98% scores almost 10,000 on its own.

Backup: what counts as a rising market

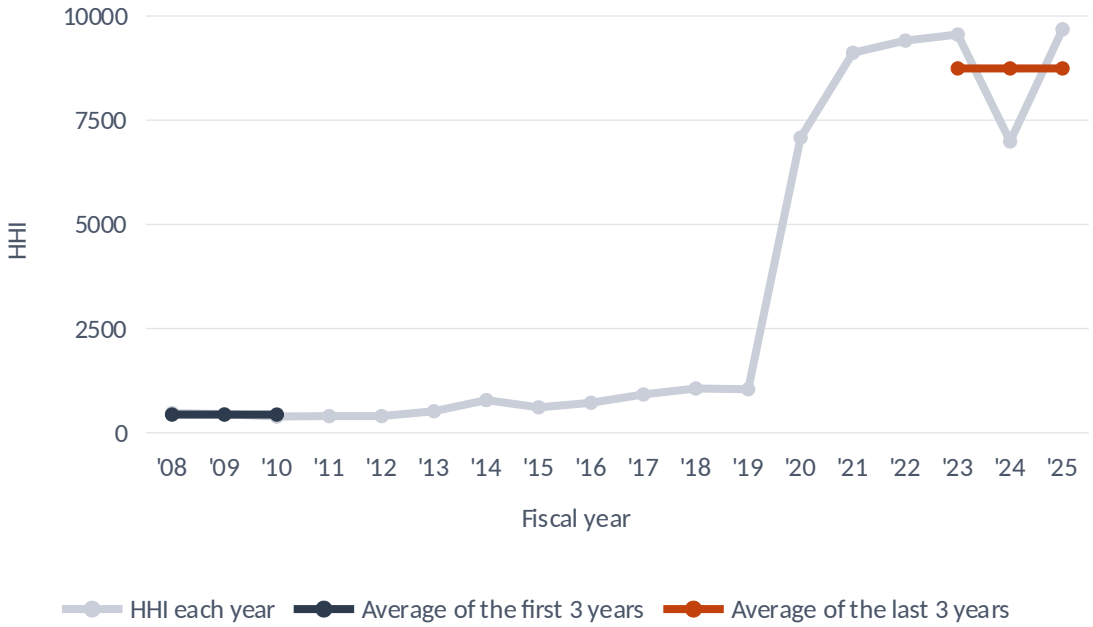


Figure B5. One trend line: VA managed healthcare, FY2008 to FY2025.

The rule

Compare a market's average HHI in its last 3 years with its first 3 years. A gain of 500 points or more counts as rising: the rule in our proposal.

437 → 8,742

A gain of 8,305 points: this market is rising

Averaging 3 years softens one big contract. Single years still swing a lot, so we test each rise against chance.

What this means A trend line follows one market for up to 18 years. Rising means its score climbed by at least 500 points.

Backup: rising beats chance clearly, falling only slightly

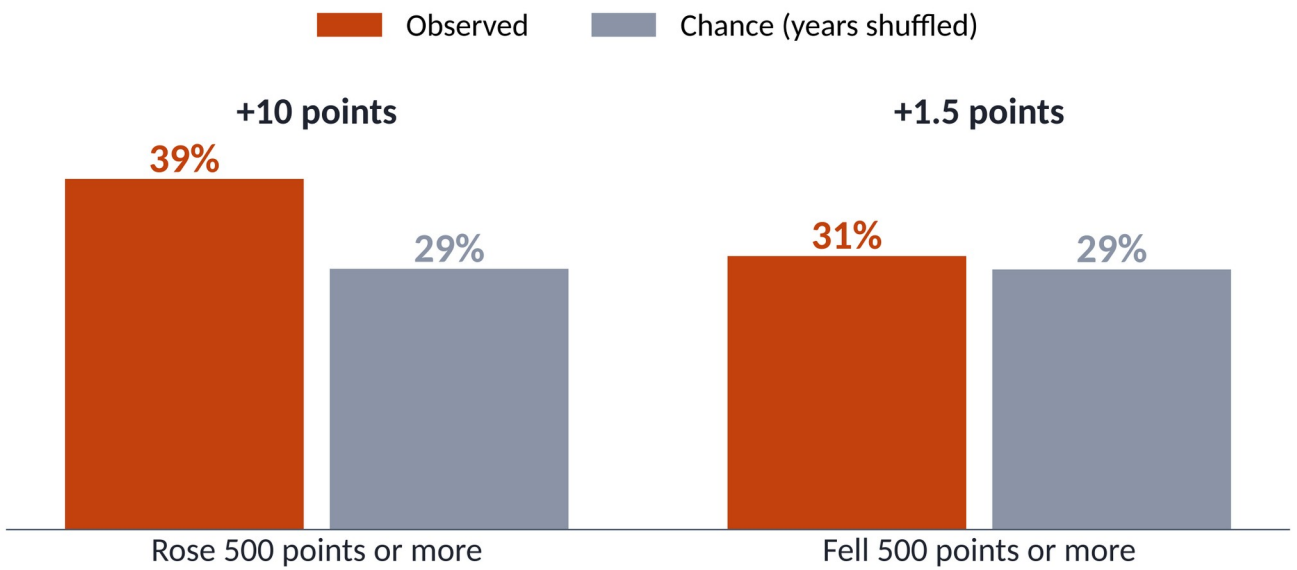


Figure B6. Share of 4,258 civilian markets that rose or fell by 500 points or more, FY2012 to FY2020, as recorded.

Backup: spreading contracts calms swings by a quarter

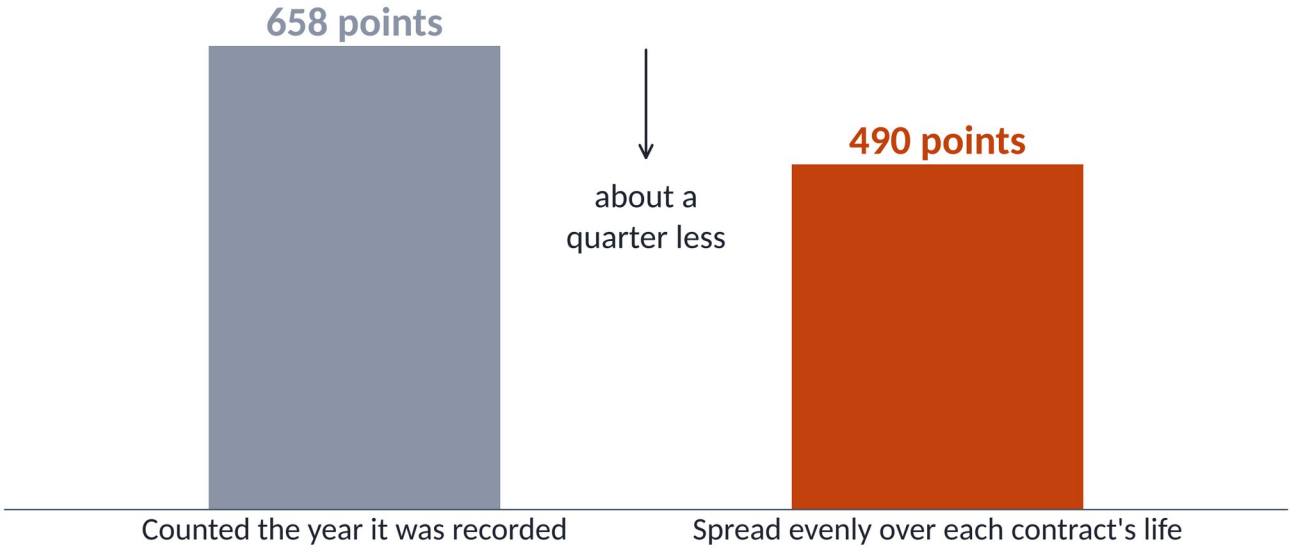


Figure B7. Typical yearly change in a civilian market's HHI, FY2012 to FY2020. Each contract counts under one firm.

Backup: half the FY2021 jump came from new IT codes

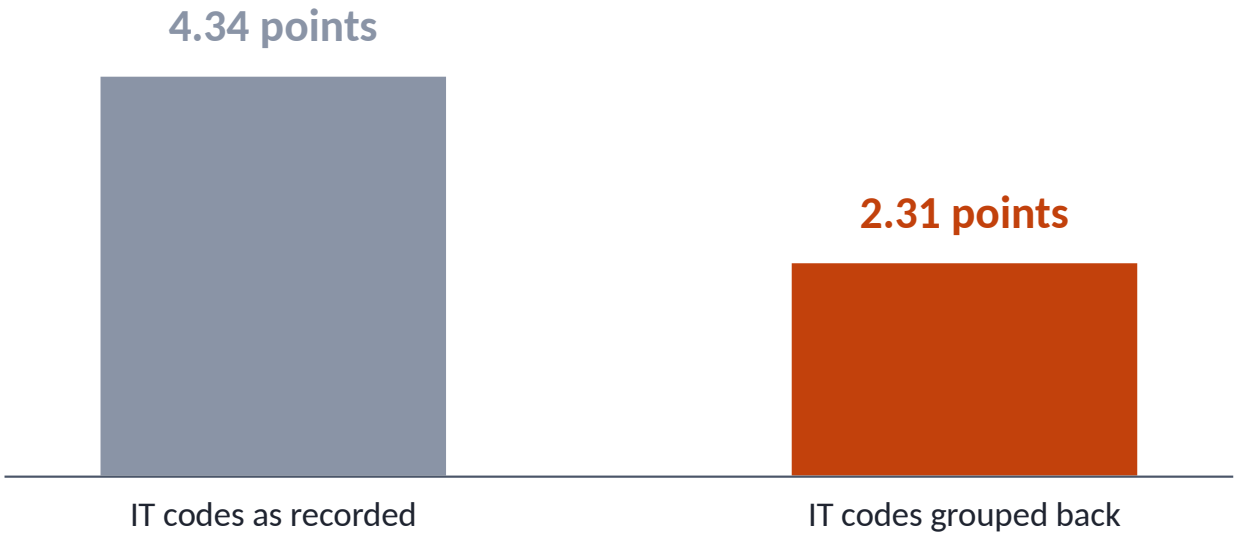


Figure B8. Rise in the civilian share above 2,500 from FY2020 to FY2021.

Backup: the FY2024 dip was one firm split across four IDs

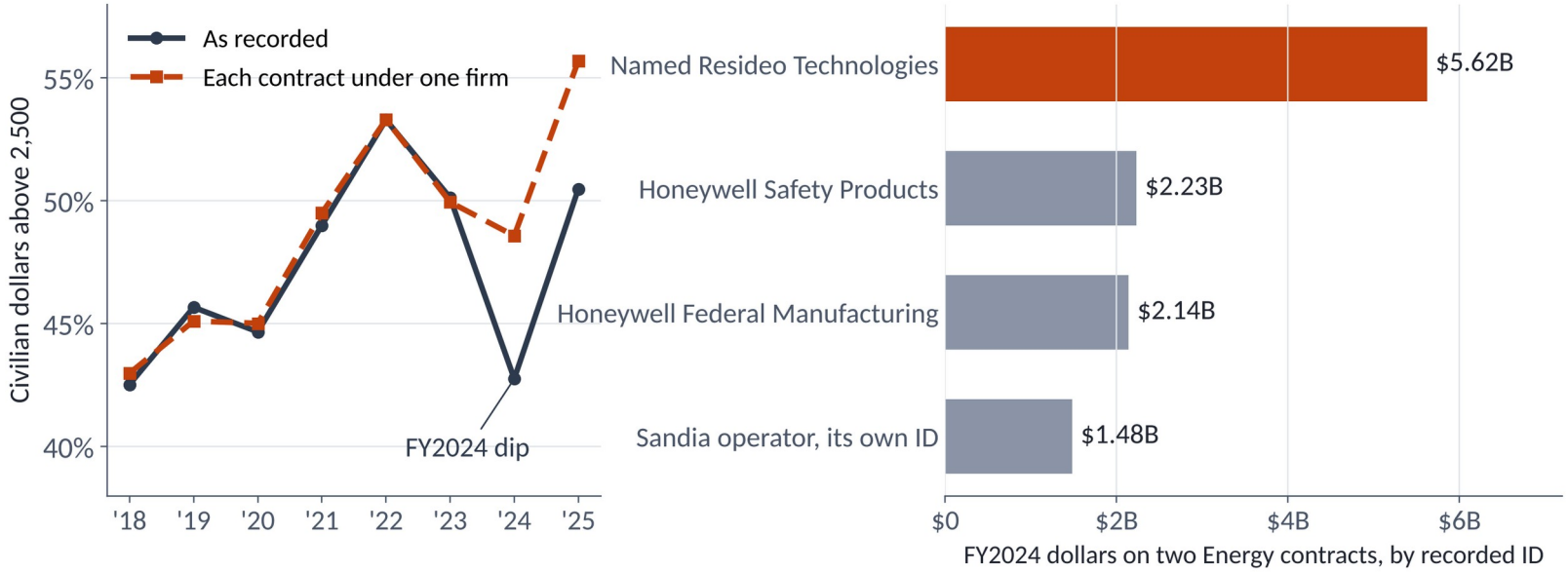


Figure B9. Left: civilian share above 2,500, two ways. Right: Honeywell's FY2024 money on two Energy contracts, by ID.

Backup: by dollars, VA accounts for the change

How we found it

1. Compare FY2012 to FY2014 with FY2023 to FY2025
2. Each market: its concentrated $ ÷ all civilian $, then and now
3. The difference is its part. Add the parts by agency



What a point is

40.5% → 47.8% = +7.2 points

One point = one percentage point of the civilian share

+11.6
points from VA alone

12
markets make half of all the rise

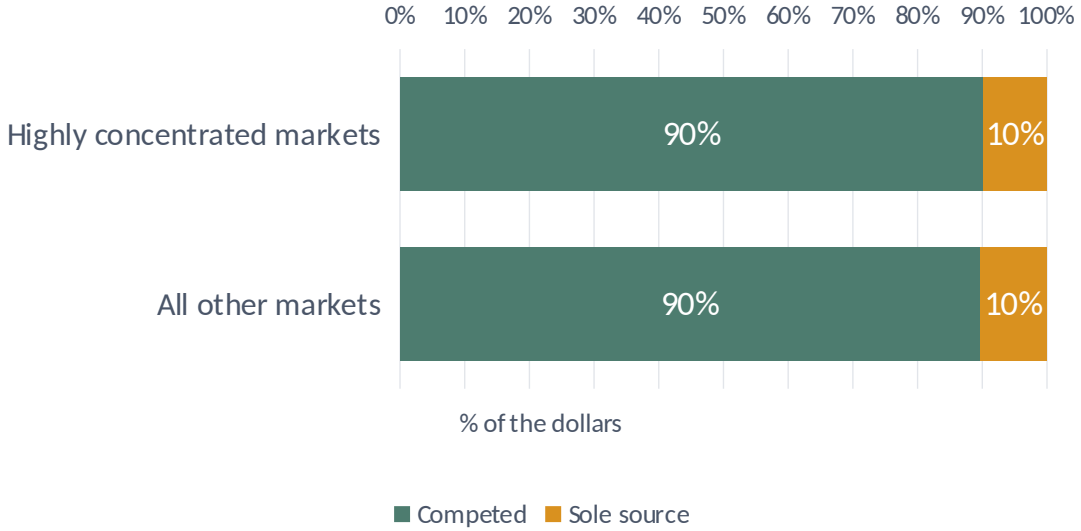
Figure B10. Each agency's part of the change in the civilian share. Orange adds to it, grey takes away.

What this means By dollars, VA added more than the whole change. This window crosses the FY2021 code change, so some of VA's gain may be relabeling.

Backup: concentrated, but competed

How we found it

1. Read each contract action's competition field
2. Group the dollars: competed or sole source
3. Compare concentrated markets with all the others



The same rate

Concentrated civilian money was competed as often as the rest of civilian money.

Exception: NASA, 37% sole source

Mostly space research, where few organizations can do the work.

Figure B11. How civilian contract dollars were awarded, FY2025.

What this means Concentration mostly comes from competed contracts that give one winner the whole market. Agencies did not skip competition.

Backup: Defense and civilian follow a similar path

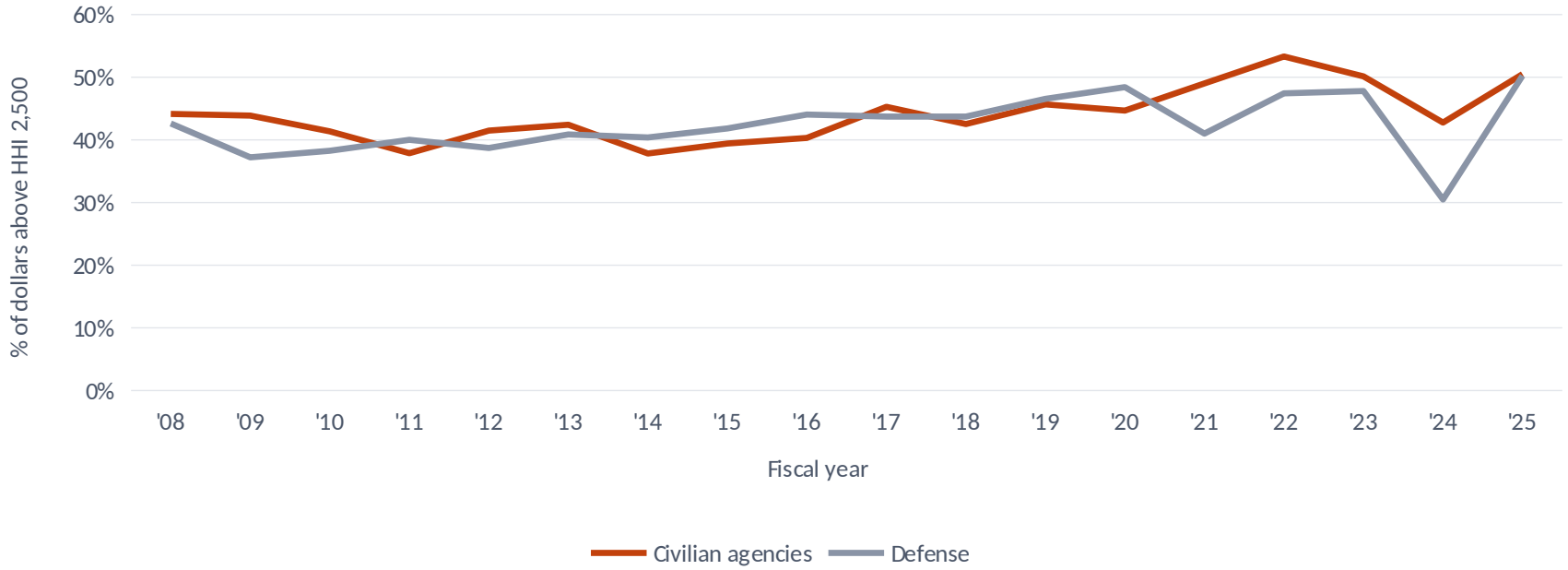
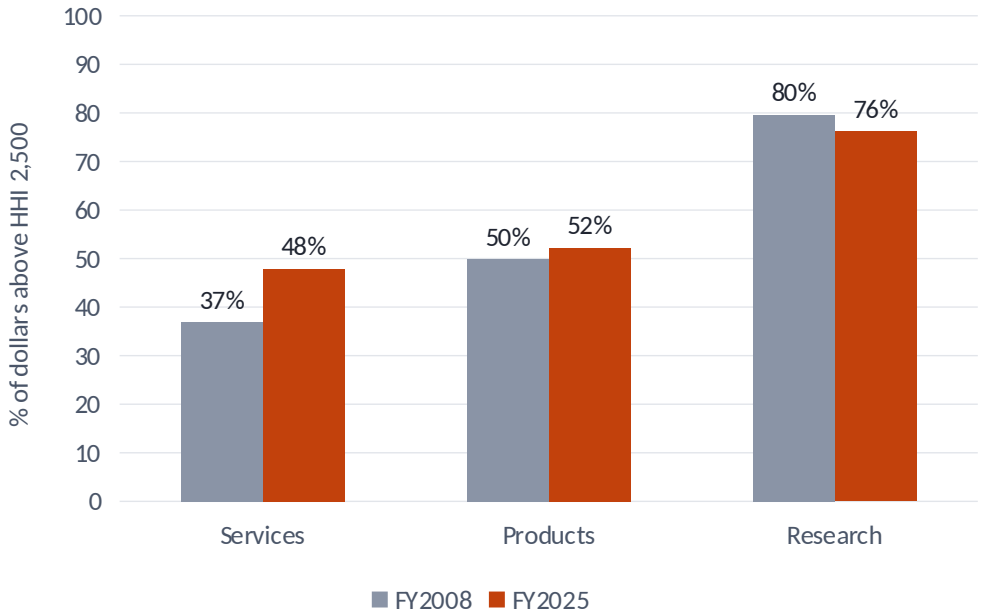


Figure B12. Share of dollars in highly concentrated segments, Defense and civilian.

Backup: civilian services are where concentration grew



Civilian dollars	FY2008	FY2025
Services	$96.9B	$229B
Products	$31.3B	$52.1B
Research	$15.0B	$19.9B

Figure B13. Civilian dollars in highly concentrated segments, by kind of purchase. Right: total civilian dollars by kind.